

# BITCOIN'S EARLY YEARS

We left Bitcoin in [Chapter 1](#) with Satoshi pleading on December 5, 2010, for WikiLeaks not to accept bitcoin for donations to its site, because bitcoin was still too young and vulnerable to attack. This was about two years after the birth of Bitcoin's blockchain, during which it had lived a mostly quiet and nerdy life. That was all about to change.

A few months after Satoshi's plea, a software application was released that would make Bitcoin famous. Launched in February 2011, the Silk Road provided a rules-free decentralized marketplace for any product one could imagine, and it used bitcoin as the means of payment. You name it, the Silk Road had it. Gawker put it succinctly in a June 2011 article, "The Underground Website Where You Can Buy Any Drug Imaginable."<sup>1</sup> Clearly, this was one way that Bitcoin developed its dark reputation, though it's important to know that this was not endorsed by Bitcoin and its development team. The Silk Road was simply making use of this new digital and decentralized currency by building an application atop its platform.

The Gawker article led to the first Google search spike in Bitcoin's life, as shown in [Figure 3.1](#), and would drive the price of bitcoin from about \$10 to \$30 in the span of a week.<sup>2</sup> However, the Gawker article jump paled in comparison to the global Google search volume in March to April 2013, which corresponded with a nearly eightfold increase in price, from roughly \$30 to \$230 in about a month. The drivers behind this bitcoin demand were more opaque than the Gawker spike,